Block practice · Minimum wage, deregulation, unemployment effects and deficits

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Fiscal balance: budget surplus or deficit

Deregulation: meaning, advantages and disadvantages

Draw a minimum wage on a labour market diagram

Fiscal deficits and surpluses: meaning and effects

Effects of unemployment on the economy, government and confidence

Minimum wage: reasons, benefits and costs

Wage income from an hourly rate

OLevels.com SCHOOL

Practice workbook · Fiscal balance: budget surplus or deficit

Government budget position from total revenue and total spending, labelled deficit or surplus.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-CALC-21

1. Question 1 · part e · 2 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part e only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 1 · part e · 2 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part e only.

(d) What is meant by the term dumping?

(2)

Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

	Indian rupees crore (Rs)
Total revenue	2 080 201
Total expenditure	2 784 200

Figure 1

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 6 5 8 9 8 A 0 3 2 0

3

Turn over ▶

1. Question 1 · part e · 2 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part e only.

In 2019, Hungary introduced a subsidy on new cars for families with three or more children.

(f) Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

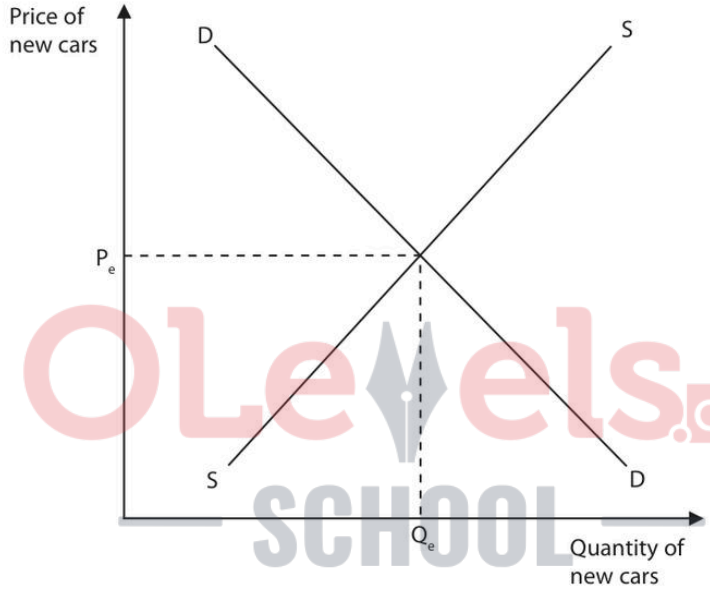


Figure 2

The UK has 13 national parks with the Lake District National Park being the largest and most popular. It had over 19.17 million visitors in 2018. Woodland covers over 12% of the national park.

(g) Explain **one** benefit to the UK Government of providing parks.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

4

P 6 5 8 9 8 A 0 4 2 0

1. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 4 · part a · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

4 Figure 3 shows the government revenue and expenditure (€m) for Estonia in 2018.

2018	€m
Government revenue	8 119 601
Government expenditure	8 197 243
Fiscal surplus/deficit	

(Source adapted from: https://www.stat.ee/53721)

Figure 3

(a) Calculate in €m the **fiscal surplus/deficit** for Estonia in 2018. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 4 · part a · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Estonia's annual inflation rate increased to 4.4% in October 2018.

(b) Analyse how the Estonian Government might use fiscal policy to control inflation.

(6)

OLevels.com SCHOOL

2. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part a · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

OLevels.COM — SCHOOL —

3. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 4 · part a · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part a only.

4 Figure 5 shows the government revenue and expenditure for Canada in 2021–2022.

	Canadian dollars CAD$bn
Total revenue	38.815
Total expenditure	35.897

Figure 5

(a) Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022.
You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 4 · part a · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part a only.

In April 2023, the inflation rate in Canada fell to 5.2%. The Governor of the Bank of Canada, Tiff Macklem, said, "Interest rates may have to stay at 4.5% to ensure inflation declines to the Bank of Canada's 2% target".

(b) With reference to the data above and your knowledge of economics, analyse the relationship between inflation and interest rates for a country such as Canada.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Deregulation: meaning, advantages and disadvantages

Removing rules on markets and its effects on competition, costs, jobs and the environment.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T21-31

1. Question 2 · part g · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

OLevels.com SCHOOL

(d) What is meant by the term infrastructure?

(2)

P 6 2 6 4 2 R A 0 7 2 0

7

Turn over ▶

1. Question 2 · part g · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part g only.

In 2018 the average number of job seekers in Germany decreased by 0.5% to 5.2% and was lower than at any time since 1991.

(e) Explain **one** impact of falling unemployment rates on tax revenue for a country such as Germany.

(3)

In December 2018, consumers in the UK were warned to avoid some imported plastic toys because they contained banned chemicals. Many were being sold through online marketplaces.

(f) Explain **one** reason why UK consumers need protecting from some imported goods.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 2 · part g · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

In May 2018, South Korea's unemployment rate for people aged 15–29 increased to 11.6%. In several global competitiveness reports South Korea has recently been criticised for having too many rules and regulations. Experts have advised the South Korean Government to reduce some employment regulations for service sectors such as finance, transport and tourism in order to create more jobs.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of deregulation in reducing unemployment in South Korea.

(9)

OLevels.COM SCHOOL

P 6 2 6 4 2 R A 0 9 2 0

9

Turn over ▶

1. Question 2 · part g · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part g only.



1. Question 2 · part g · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 2 · part b · 1 mark

2020 NOV · Paper 02

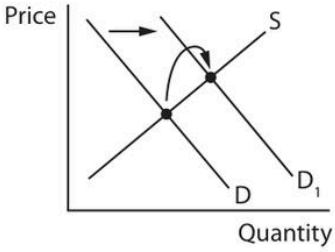
Further practice · Attempt part b only.

2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

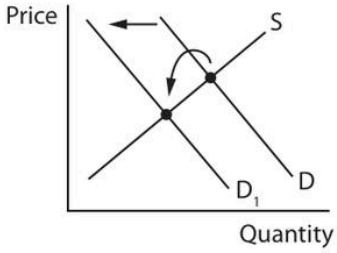
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

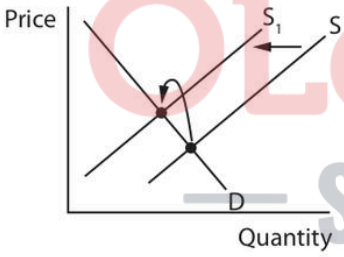
☒ **A**



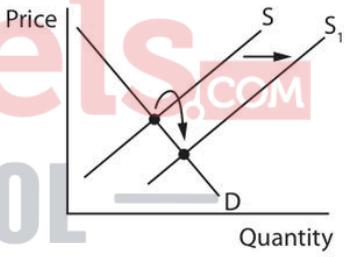
☒ **B**



☒ **C**



☒ **D**



DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2. Question 2 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

2. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part e · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

(d) What is meant by the term fiscal surplus?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

3. Question 2 · part e · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Indonesia is one of the largest exporters of coal in the world. In 2020, the Indonesian Government started to deregulate the mining industry by removing some environmental controls.

(e) Explain **one** disadvantage of deregulation for a country such as Indonesia.

(3)

(f) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

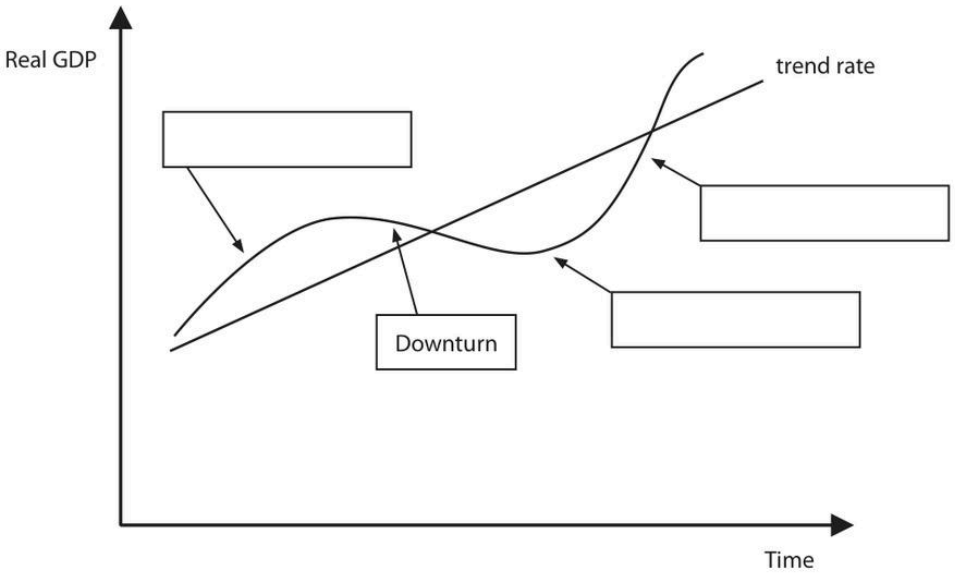


Figure 2

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 3 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 (a) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a national minimum wage rate
- ☒ **B** More health and safety laws
- ☒ **C** Introducing licences for firms to operate
- ☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An improvement in productivity
- ☒ **B** An improvement in weather conditions
- ☒ **C** An increase in wage rates
- ☒ **D** An increase in the consumption of goods

OLevels.COM — SCHOOL —

4. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part c · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 1 · part c · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

5. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

OLevels.COM SCHOOL

(c) What is meant by the term monetary policy?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Describe **one** advantage of privatisation for a government.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business taxes	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

(2)

6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2023, the Government of Ghana announced it was removing fuel subsidies on petroleum.

(f) Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

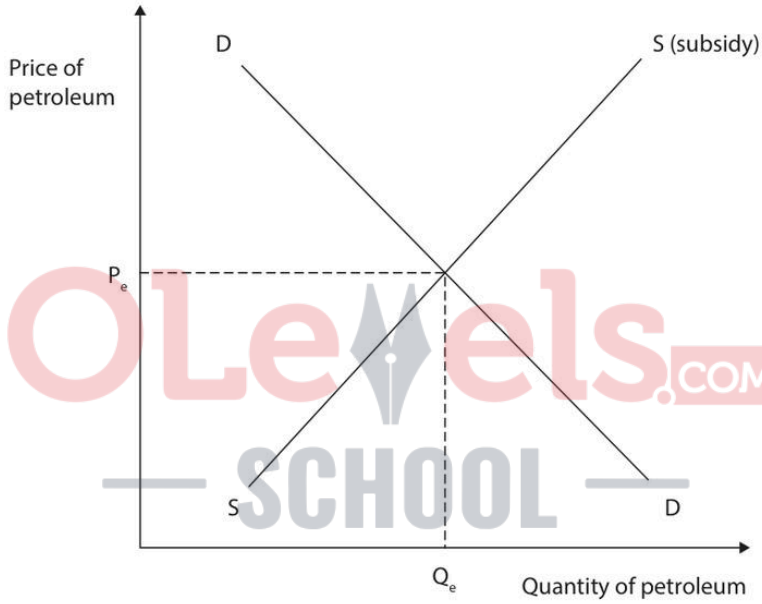


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 2 9 7 0 R A 0 4 2 4

6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In September 2022, the Indian Government deregulated the telecommunications sector. This included reducing the taxes and fees that telecom companies had to pay to the government and allowing more firms to enter the market.

(g) Explain **one** advantage of deregulation for a country such as India.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2023, the UK joined the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), an 11-member Asia-Pacific trading bloc, after two years of negotiations. The current members of the CPTPP are Australia, Canada, Japan, Mexico, New Zealand, Singapore, Brunei, Chile, Malaysia, Peru and Vietnam.

(h) With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6

P 7 2 9 7 0 R A 0 6 2 4

6. Question 1 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

7. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

OLevels.com SCHOOL

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

Figure 1 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the euro (€).

(f) Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

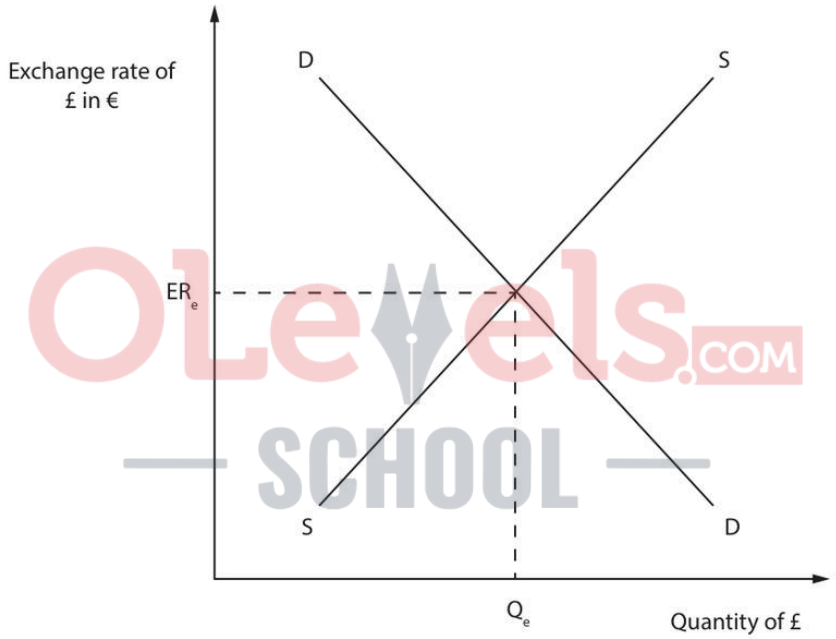


Figure 1

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 8 9 6 3 A 0 4 2 8

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

In March 2024, after 15 years of negotiations, India announced a free trade agreement with four European countries: Switzerland, Iceland, Norway and Liechtenstein. The free trade agreement is expected to create one million jobs over the coming years.

(g) Explain **one** advantage of free trade for a business in a country such as Iceland.

(3)

OLevels.COM SCHOOL

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

The South Korean Government is to introduce deregulation to boost the growth of industries, such as artificial intelligence (AI) and biotechnology. The country will create a regulation-free zone where firms can develop technologies without any barriers.

(h) With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

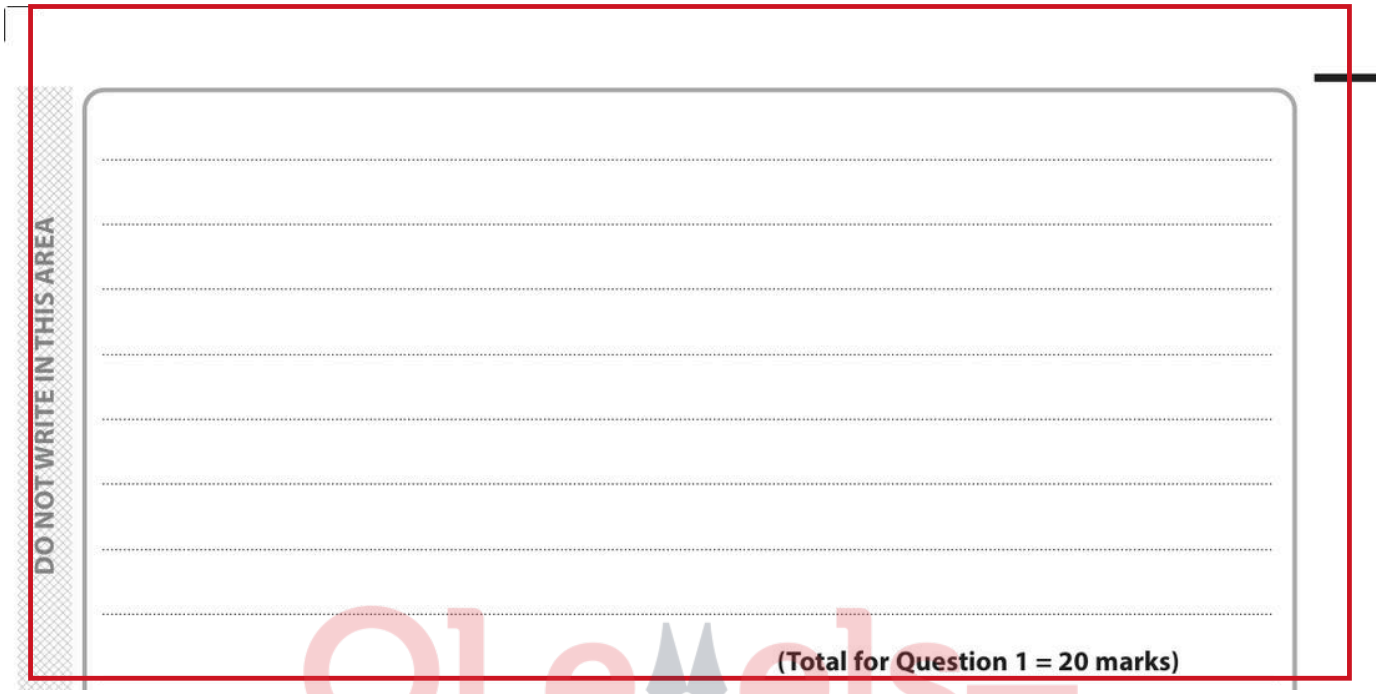
6

P 7 8 9 6 3 A 0 6 2 8

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.



OLevels.com SCHOOL

8. Question 1 · part h · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Draw a minimum wage on a labour market diagram

Showing a wage floor above the equilibrium wage and the resulting quantities of labour demanded and supplied.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T12-24

1. Question 3 · part c · 3 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part c only.

3 (a) Which **one** of the following is likely to lead to an inefficient allocation of resources?

(1)

- ☒ **A** Migration
- ☒ **B** Competition
- ☒ **C** Lack of information
- ☒ **D** Division of labour

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** Sheep farmer
- ☒ **B** Factory worker
- ☒ **C** Coal miner
- ☒ **D** Sales assistant

(c) Using the diagram below, draw the effects of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

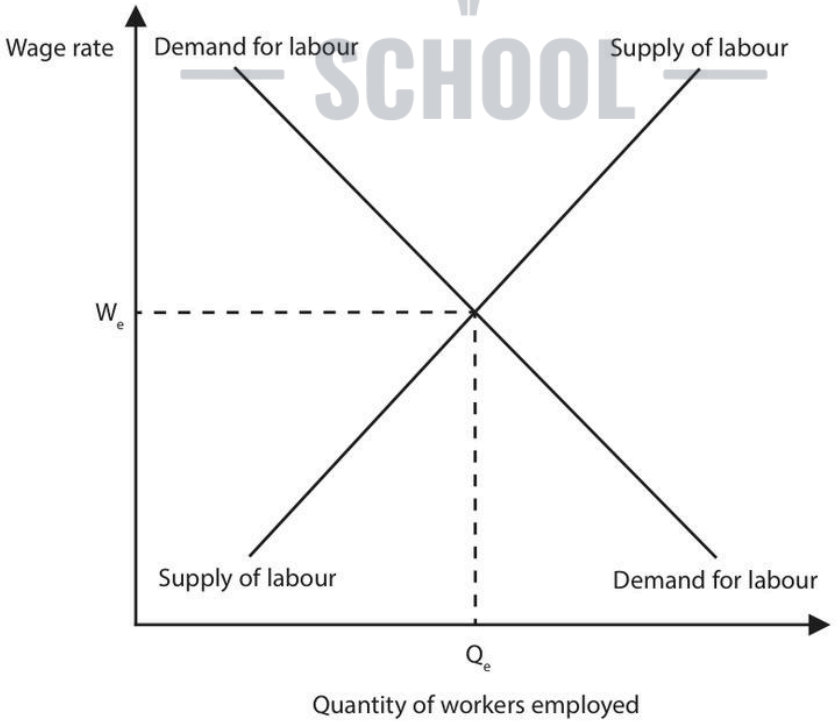


Figure 3

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1. Question 3 · part c · 3 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part c only.

During the 2019 Cricket World Cup, supporters of teams such as India, Bangladesh, England, Pakistan and Sri Lanka watched matches at stadiums and on television around the world. Pepsi was one of the main advertisers during the event.

(d) With reference to the data above and your knowledge of economics, analyse how the demand curve for Pepsi might have been affected during the 2019 Cricket World Cup.
(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 3 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part c · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

3 A product has an income elasticity of demand (YED) of -0.16.

(a) Which **one** of the following best describes this product?

(1)

- ☒ **A** A luxury good
- ☒ **B** A normal good
- ☒ **C** A public good
- ☒ **D** An inferior good

(b) Which **one** of the following is a diseconomy of scale?

(1)

- ☒ **A** An increase in productivity
- ☒ **B** An increase in bureaucracy
- ☒ **C** A decrease in the cost of research and development
- ☒ **D** A decrease in government regulation

OLevels.com SCHOOL

2. Question 3 · part c · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

(c) Using the diagram below, draw the effects of a minimum wage (W_1) being set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

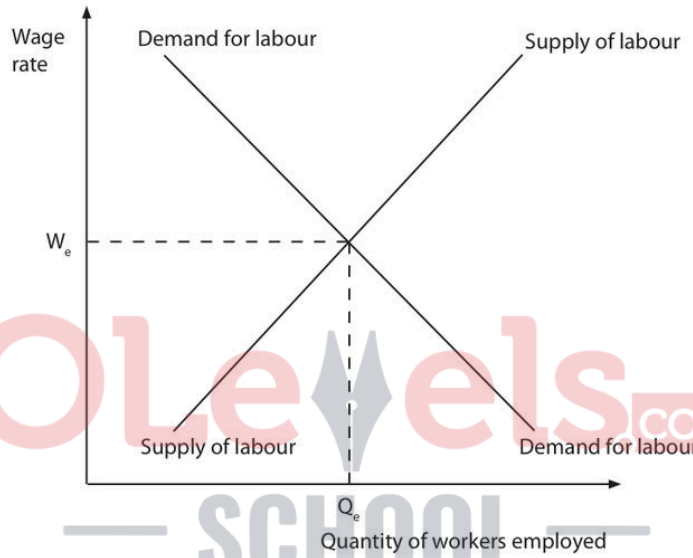


Figure 5

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2. Question 3 · part c · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

Firms in Canada, the world's second largest country, have been struggling to find the labour needed for specialist positions such as computer engineers and web designers. The 'Global Talent Stream' is a government programme that provides firms with a quick way to hire highly skilled foreign workers. High costs and long time commitments often stop Canadians from training. Although a processing fee is payable for each new employee, firms have welcomed the programme.

(Source: adapted from http://www.canada.ca/en/employment-socialdevelopment/)

(d) With reference to the data above and your knowledge of economics, analyse why Canadian firms may have been struggling to hire the labour they need.

(6)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 3 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

3 (a) A free rider can be defined as an individual who does which **one** of the following?

(1)

- ☒ **A** Enjoys the benefit of a good after paying for it
- ☒ **B** Enjoys the benefit of a good but does not pay for it
- ☒ **C** Gives a good away after paying for it
- ☒ **D** Neither uses a good nor pays for it

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** House builder
- ☒ **B** Cattle farmer
- ☒ **C** Hotel receptionist
- ☒ **D** Forestry worker

(c) Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

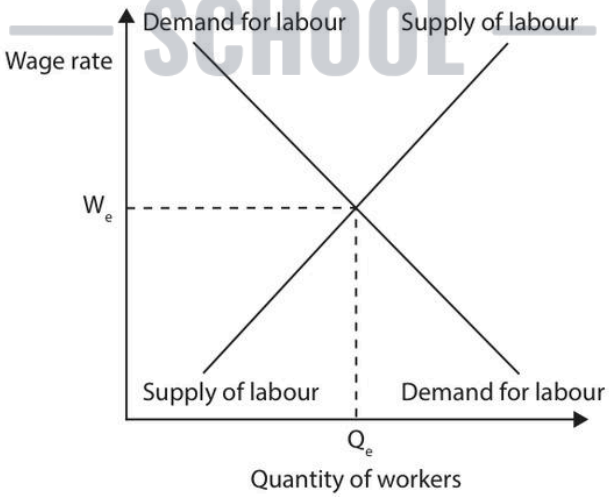


Figure 3

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 7 2 1 3 2 A 0 1 2 2 4

3. Question 3 · part c · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

At the end of 2023, Amazon Prime ended its streaming service of live tennis coverage in the UK after a period of five years. Sky took over the service at the start of 2024 but at a much higher price to customers.

Subscribing to Tennis TV is the only alternative to Sky for customers in the UK wanting to stream the majority of live tennis. On 28th December 2023, Tennis TV increased the price of its subscription.

(d) With reference to the data above and your knowledge of economics, analyse how the demand curve for Tennis TV subscriptions might have been affected by Amazon Prime ending its streaming service.

(6)

OLevels.com SCHOOL

3. Question 3 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Fiscal deficits and surpluses: meaning and effects

What fiscal deficits and surpluses are and their consequences for debt, services, taxes and growth.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T21-25

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.

3 (a) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a national minimum wage rate
- ☒ **B** More health and safety laws
- ☒ **C** Introducing licences for firms to operate
- ☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An improvement in productivity
- ☒ **B** An improvement in weather conditions
- ☒ **C** An increase in wage rates
- ☒ **D** An increase in the consumption of goods

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.

The UK Government gives subsidies to firms in the renewable energy market that provide wind and solar energy.

(c) Explain **one** reason why the UK Government gives subsidies to firms in the renewable energy market.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.

Nauru is a tiny island country in Micronesia, northeast of Australia. It has a population of 10,824. In 2019, Nauru had a fiscal surplus of 16.1% of GDP.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of having a fiscal surplus for a country such as Nauru.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02

Worked-example retry · Attempt part d only.

More than 125 million tonnes of poisonous gases pollute the US state of Colorado's air every year. US Government records show that 46 million tonnes, or 36% of the total air pollution, comes from 119 large industrial polluters. These include 35 power stations. More than half the electricity in Colorado is still generated from burning coal despite 10 years of government efforts to encourage producers to switch to clean energy.

(e) With reference to the data above and your knowledge of economics, assess the effectiveness of pollution permits in protecting the environment for a country such as the US.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

14

P 6 6 3 2 9 A 0 1 4 2 4

1. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

O Levels .COM SCHOOL

2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

(f) The UK exports goods to eurozone countries. Using the diagram below, draw the effects of an increase in exports from the UK to the eurozone on the exchange rate of the £. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

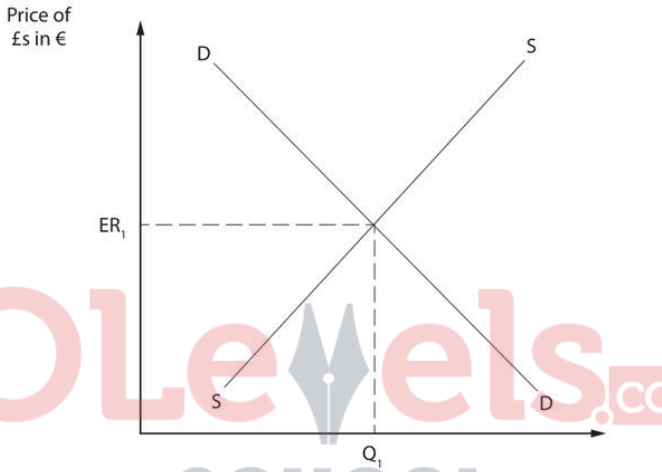


Figure 2

In September 2017, the growth rate of the gross domestic product (GDP) in the UK was 0.4%, a slight increase of 0.1% on the previous quarter.

(g) Explain **one** reason why economic growth is a key macroeconomic objective for a country such as the UK.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 0 7 5 0 A 0 4 2 0

2. Question 1 · part h · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

The Government of Singapore had a fiscal surplus of 1.3% of GDP in 2016 and it is expected to have a 0.4% of GDP surplus in 2017.

(h) Analyse the impact of a fiscal surplus on a country such as Singapore.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 1 = 20 marks)

2. Question 1 · part h · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part e · 3 marks

2020 JAN · Paper 02 (regional R)

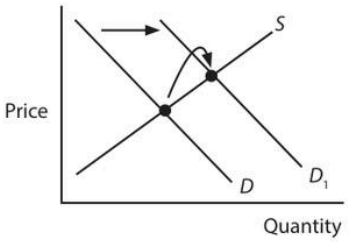
Further practice · Attempt part e only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

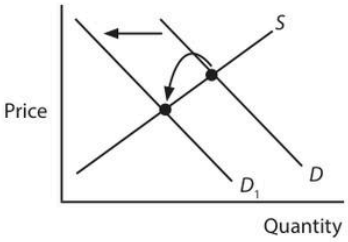
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

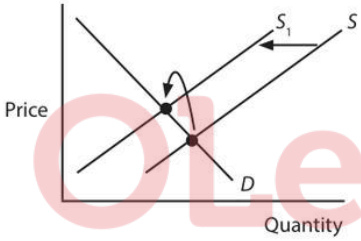
☒ **A**



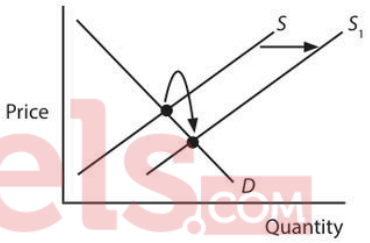
☒ **B**



☒ **C**



☒ **D**



OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

3. Question 2 · part e · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

OLevels.COM SCHOOL

P 5 8 3 8 5 A 0 9 2 4

3. Question 2 · part e · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

India set a target for its fiscal deficit of 3.3% of its GDP for the year ending March 2019.

(e) Explain **one** reason why the Indian Government's fiscal deficit is likely to stimulate economic growth.

(3)

In 2017, the tertiary sector contributed 69.3% to Germany's GDP and the secondary sector contributed 30.1%. In comparison, the primary sector only accounted for 0.6% of GDP.

(f) Explain a typical trade pattern for a developed country such as Germany.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10

P 5 8 3 8 5 A 0 1 0 2 4

3. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 3 · part a · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part a only.

3 (a) A fiscal surplus occurs when

(1)

- ☒ **A** a country exports more than it imports
- ☒ **B** government revenue is greater than government expenditure
- ☒ **C** a country imports more than it exports
- ☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

OLevels.COM SCHOOL

(d) What is meant by the term fiscal surplus?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

5. Question 2 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Indonesia is one of the largest exporters of coal in the world. In 2020, the Indonesian Government started to deregulate the mining industry by removing some environmental controls.

(e) Explain **one** disadvantage of deregulation for a country such as Indonesia.

(3)

(f) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

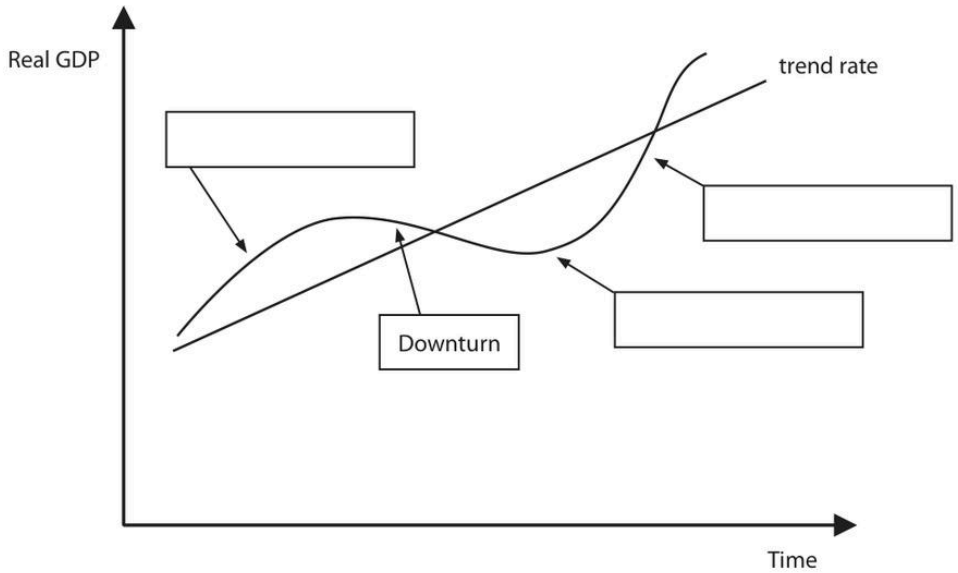


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

5. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
- ☒ **B** privatisation
- ☒ **C** payment of interest
- ☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

- ☒ **A** UK pound sterling (£) has appreciated against the euro (€)
- ☒ **B** holidays in Italy will be cheaper for UK tourists
- ☒ **C** imports from Italy to the UK will be cheaper
- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

.....

.....

.....

(d) What is meant by the term devaluation?

(2)

.....

.....

.....

.....

.....

.....

OLevels.COM SCHOOL

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

US President Joe Biden recently signed a deal to fund 32,000 kilometres of new roads and 10,000 new bridges to improve the US infrastructure.

(e) Explain **one** way government spending on infrastructure can benefit an economy such as the US.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

In 2021, the UK and Norway agreed to increase fishing quotas by 20% for 2022.

(f) Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

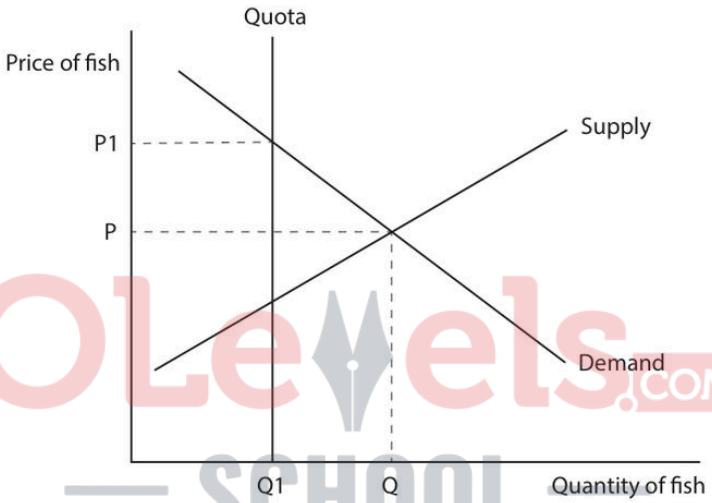


Figure 3

OLevels.COM SCHOOL

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

San Francisco, a city in the US, raises its own taxes and plans its own spending. It expects its budget to have a fiscal surplus for the first time since 1998. The city is expecting this surplus to be $108m.

"Over the last two years, while we have invested heavily in key priorities like homelessness and mental health, we have also made smart budgeting decisions, and this surplus is a result of that work," said the Mayor of San Francisco.

The Mayor has not decided where to spend the surplus, but this week called for more funding for police and to improve public safety.

(Source: https://www.sfchronicle.com/sf/article/S-F-expects-first-budget-surplus-in-over-20-16705136.php)

(g) With reference to the data above and your knowledge of economics, assess the benefits of having a fiscal surplus for a city such as San Francisco.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 2 · part g · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com — SCHOOL —

(Total for Question 2 = 20 marks)

6. Question 2 · part g · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

4 Figure 3 shows the fiscal deficit (€bn) for Spain in 2019 and 2020.

	2019	2020
Fiscal deficit	–€35.64bn	–€123.07bn

Figure 3

(Source: https://www.statista.com/statistics/270401/budget-balance-in-spain/)

(a) Calculate, to two decimal places, **the percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

One of Spain's main macroeconomic objectives is to reduce its fiscal deficit.

(b) With reference to the data in Figure 3 and your knowledge of economics, analyse the impact of a fiscal deficit for a country such as Spain.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.



7. Question 4 · part b · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Wind power became Spain's main energy source in 2021. Renewable energy sources such as wind and solar contributed to almost 47% of the country's energy, compared to 30% in 2011. This has helped to reduce Spain's use of fossil fuels.

"Wind power is going to dominate the Spanish electricity supply for a long time. Spain has it all: we have more wind and more sun than practically any other European country," says Francisco Valverde, an energy consultant.

The Spanish Government is giving €6.9bn in subsidies for renewable energy between 2022 and 2023. These subsidies will help create over 280,000 jobs in the Spanish economy. Over 60% of solar and 90% of wind energy equipment is manufactured in Spain.

(Source: https://english.elpais.com/economy-and-business/2021-12-14/wind-power-becomes-spains-leading-energy-source-for-2021.html)

(c) With reference to the data above and your knowledge of economics, evaluate how effective subsidies are in protecting the environment in a country such as Spain.

(12)

OLevels.COM SCHOOL

7. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part b · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

P 7 3 4 9 9 R A 0 2 2 4

8. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 3 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

3 (a) Which **one** of the following is a feature of being a member of a trading bloc?

(1)

- ☒ **A** Higher tariffs on exports to other members within the bloc
- ☒ **B** Slower delivery times for goods within the bloc
- ☒ **C** Can only trade with members within the bloc
- ☒ **D** Access to a larger market within the bloc

Figure 3 shows imports and exports for a country in $bn.

	$bn
Exports of goods	300
Exports of services	80
Imports of goods	240
Imports of services	50

Figure 3

OLevels.COM SCHOOL

(b) What is the **visible trade balance** in $bn for the country?

(1)

- ☒ **A** $30bn
- ☒ **B** $60bn
- ☒ **C** $90bn
- ☒ **D** $250bn

9. Question 3 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The fiscal deficit of the US is expected to increase from $1.6tn to $2.6tn over the next 10 years.

(c) Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 2 1 3 5 A 0 1 4 2 8

9. Question 3 · part c · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Consumers in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) was 3.9% in November and increased to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

9. Question 3 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Describe **one** impact on consumers of an increase in interest rates.

(2)

Figure 1 shows imports and exports for a country in €bn.

	€bn
Exports of goods	150
Exports of services	40
Imports of goods	120
Imports of services	30

Figure 1

(e) Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.

(2)

OLevels.COM SCHOOL

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

In 2024, France announced a €4bn subsidy package to support the production of hydrogen.

(f) Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

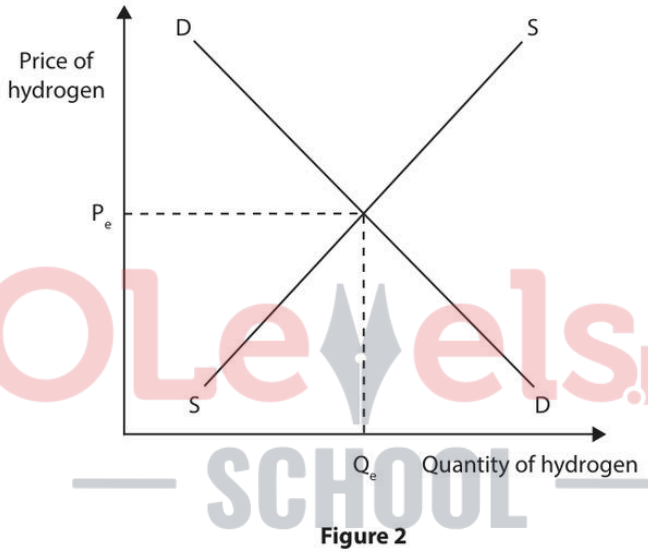


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

In December 2023, Portugal reported a fiscal surplus of €6.2bn, which was €3.4bn higher than 12 months before.

(g) Explain **one** possible benefit of a fiscal surplus for a country such as Portugal.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 1 · part g · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

In February 2024, the Greek Prime Minister Kyriakos Mitsotakis said that the Greek economy was entering the recovery phase of the economic cycle.

(h) With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6

P 7 2 1 3 4 A 0 6 2 8

10. Question 1 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Effects of unemployment on the economy, government and confidence

Effects of unemployment (or falling unemployment) on output, resources, poverty, benefit spending, tax revenue, confidence and society.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T21-12

1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

In December 2017, Argentina's Consumer Price Index (CPI) increased from 20.9% to 25%.

(d) Analyse the possible impact of high inflation on consumers in a country such as Argentina.

(6)

OLevels.COM SCHOOL

1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

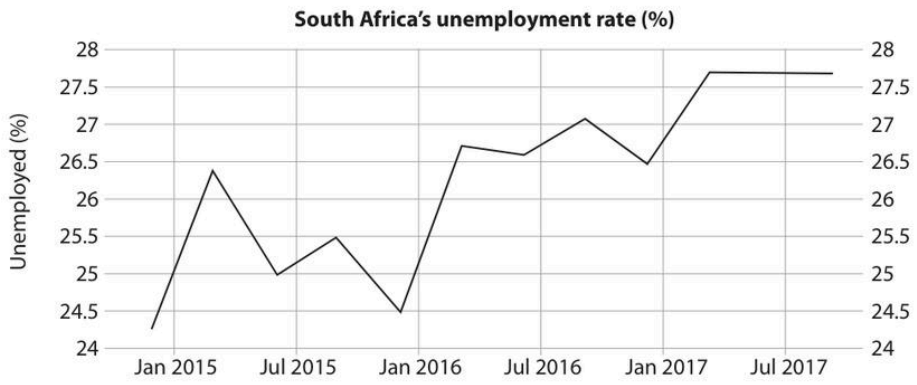


Figure 3

In 2017, unemployment in South Africa reached its highest level in 13 years at 27.7%. Concerns have been expressed about the very high levels of youth unemployment and the social problems this might cause. Statistics show that 39% of all unemployed South Africans have never worked before and for young people this figure is even higher, at 60.3%.

(e) With reference to the data above and your knowledge of economics, assess the impact of high rates of unemployment on a country such as South Africa.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

12

P 6 0 7 5 0 A 0 1 2 2 0

1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 3 = 20 marks)

1. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

3 (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse the possible impact of unemployment on an economy.

(6)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

Turkey's inflation rate (%)



Figure 3

Inflation remains a major problem for Turkey's economy. Annual inflation in Turkey increased to 11.9% in October 2017. The highest price rises were for transportation, which rose by 16.79% and food, which increased by 12.74%.

(e) With reference to the data above and your knowledge of economics, assess the impact of inflation on a country such as Turkey.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

OLevels.com SCHOOL

(d) What is meant by the term infrastructure?

(2)

3. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

In 2018 the average number of job seekers in Germany decreased by 0.5% to 5.2% and was lower than at any time since 1991.

(e) Explain **one** impact of falling unemployment rates on tax revenue for a country such as Germany.

(3)

In December 2018, consumers in the UK were warned to avoid some imported plastic toys because they contained banned chemicals. Many were being sold through online marketplaces.

(f) Explain **one** reason why UK consumers need protecting from some imported goods.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 6 2 6 4 2 R A 0 8 2 0

3. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part e · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

OLevels.COM SCHOOL

(d) What is meant by the term free trade?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

4. Question 2 · part e · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

In the first quarter of 2019 the unemployment rate in Argentina increased by 1% to 10.1%. This was the highest level in 13 years.

(e) Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.

(3)

Approximately 12% of goods traded globally are via international e-commerce. Tens of millions of small and mid-size firms worldwide have become exporters by joining e-commerce marketplaces such as Alibaba and Amazon.

(f) Explain **one** reason why the reduced cost of communication has helped to increase globalisation.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 6 5 8 9 8 A 0 7 2 0

7

Turn over ▶

4. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

5. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

In December 2019 the unemployment rate in Venezuela was approximately 44%.
This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 6 5 8 9 9 R A 0 7 2 0

7

Turn over ▶

5. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

4 Figure 4 shows the change in gross domestic product (GDP) per capita for Vietnam.

	2018	2019
GDP per capita US$	2 590	2 715

Figure 4

(Source adapted from: https://www.ceicdata.com/en/indicator/vietnam/gdp-per-capita)

(a) Calculate, to two decimal places, the **percentage increase in GDP per capita** between 2018 and 2019. You are advised to show your working.

(2)

OLevels.com SCHOOL

6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Figure 5 shows Vietnam's quarterly unemployment rate (%) 2017–2019.

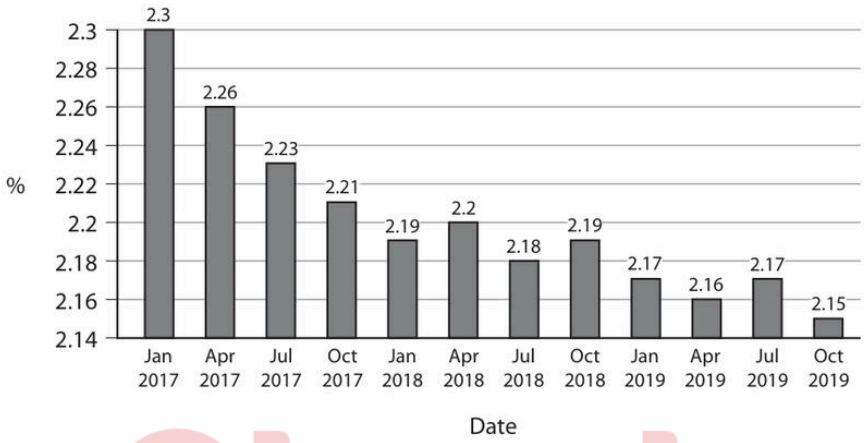


Figure 5

(Source: https://tradingeconomics.com/vietnam/unemployment-rate)

(b) With reference to the data above and your knowledge of economics, analyse the impact of falling unemployment rates on tax revenues for a country such as Vietnam.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

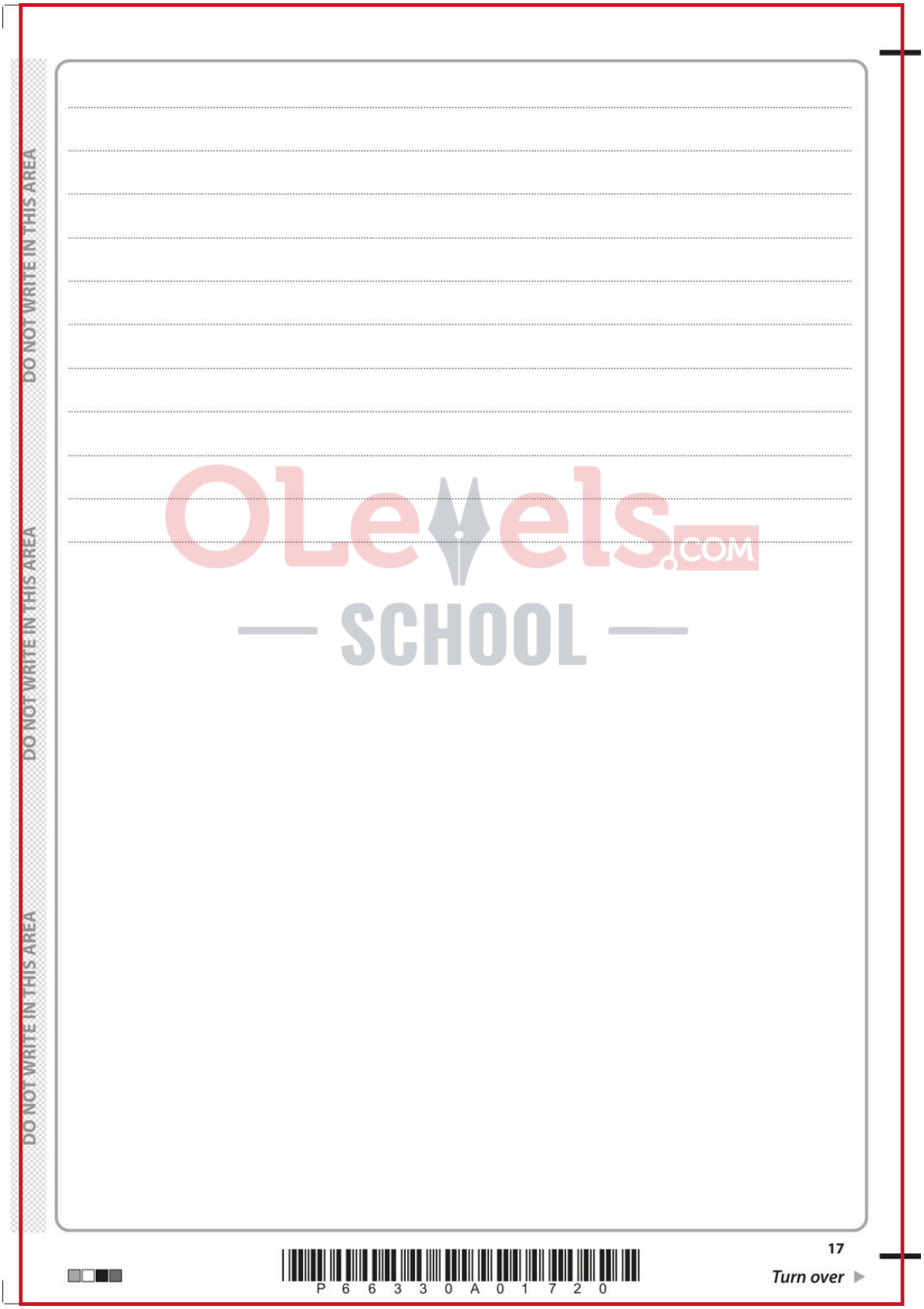
16

P 6 6 3 3 0 A 0 1 6 2 0

6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.



6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Vietnam is struggling with high levels of air pollution. Its two biggest cities, Hanoi and Ho Chi Minh City, are now among the 15 most polluted cities in Southeast Asia. Air pollution is particularly harmful to human health causing diseases including strokes, heart disease and respiratory infections. Up to 60,000 deaths in Vietnam in 2018 were related to air pollution. On average, poor air quality reduces life expectancy by one year and costs the country about 5% of GDP per year.

Among the main causes of this pollution is transportation. Vietnam now has 3.6 million automobiles and 58 million motorbikes, mostly found in big cities. Many of these vehicles are old, with limited emission control technology. They cause daily traffic jams and are responsible for a large amount of air pollution.

The Vietnamese Government is considering whether to increase the environmental tax on petrol and diesel by 33%. The proposed tax will generate $2.4 bn each year, an annual increase of $650.2 m from current tax revenues on fuels.

(Source adapted from: https://thediplomat.com/2020/03/vietnams-big-air-pollution-challenge/)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of increasing taxation on petrol and diesel to protect the environment in a country such as Vietnam.

(12)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

6. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

4 Figure 4 shows the $618 bn spent by India on existing infrastructure projects in 2019.

Existing infrastructure projects	$bn
Renewable energy	200
Railways	147
Roads and highways	109
Metro rail	109
Smart cities	32
Airports and ports	21
Total	**618**

Figure 4

(Source adapted from: https://www.businessinsider.in/Nearly-half-of-Narendra-Modis-1-4-trillion-new-infrastructure-promise-may-be-already-approved-projects/Existing-promises/slideshow/68795905.cms)

(a) Calculate, to two decimal places, **the percentage** of spending on all existing infrastructure projects that was spent on renewable energy in India in 2019.
You are advised to show your working.

(2)

Olevels.com SCHOOL

7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

Figure 5 shows the average unemployment rate (%) in India between 2016 and April 2020.



Figure 5

(Source adapted from: https://www.statista.com/chart/20014/unemployment-rate-india/)

(b) With reference to the data above and your knowledge of economics, analyse the impact of rising unemployment rates on business confidence for a country such as India.

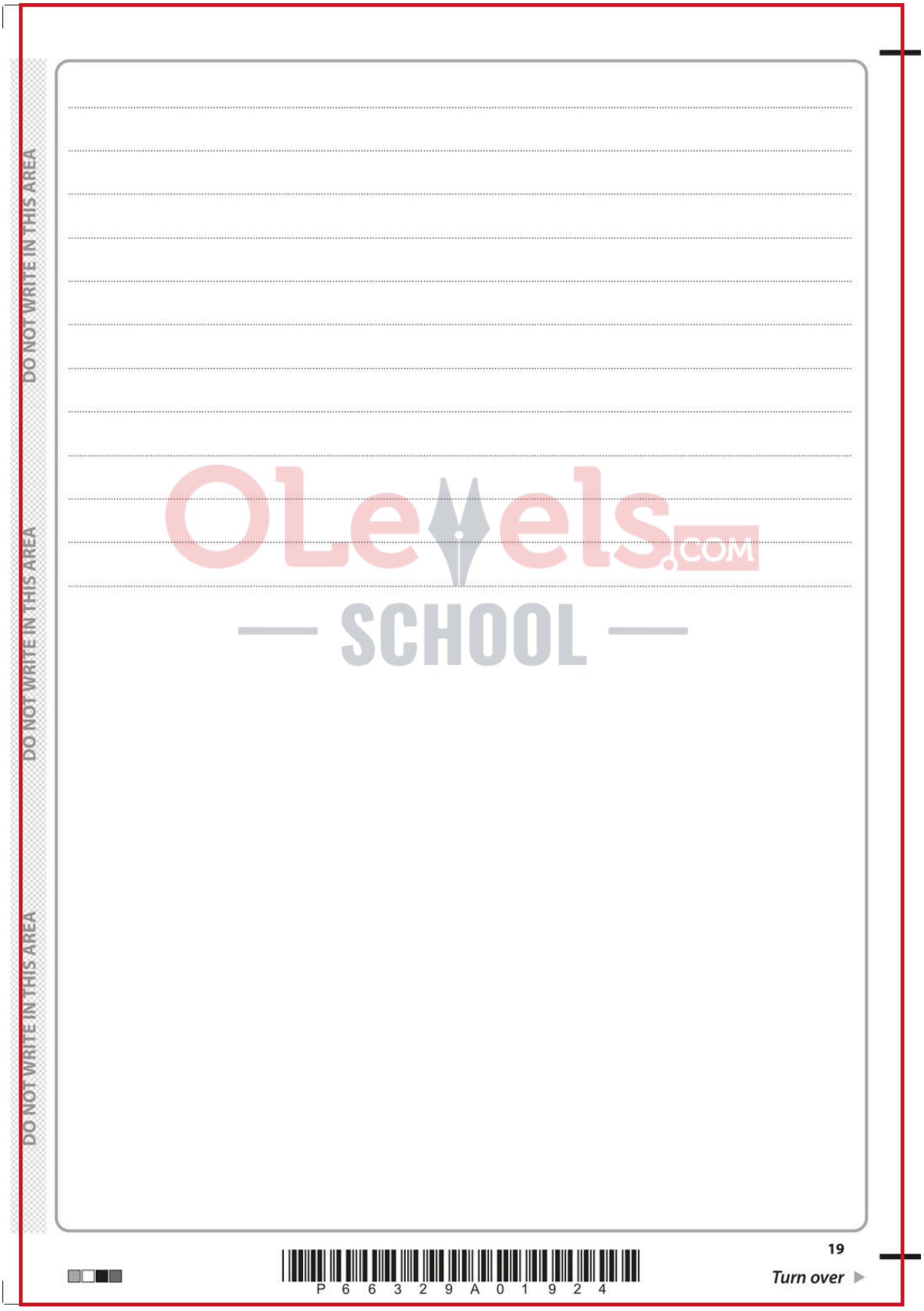
(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.



7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

The growth of India's gross domestic product (GDP) slowed to 4.5% in the quarter ending September 2019, the lowest point for 6 years. The fiscal deficit was 3.4% of GDP and was estimated to increase to 3.7% by 2020. This came at a time when the Prime Minister, Narendra Modi, announced plans to spend $1.5 trillion on infrastructure. The expenditure on these projects is expected to be 1.1% of GDP by 2025.

"Building new roads, rail links, airports and other social and economic infrastructure such as smart cities is essential for attracting investments and making India a $5 trillion economy," said Finance Minister Nirmala Sitharaman.

This spending on infrastructure will be a huge opportunity for Indian construction, road and cement companies such as GMR Group, Dilip Buildcon and Ultratech. Domestic steel prices are predicted to increase due to the higher demand from infrastructure projects.

Source adapted from: https://www.bloomberg.com/news/articles/2019-12-31/india-plans-1-5-trillion-infrastructure-spending-to-spur-growth

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of spending on infrastructure to increase total output in a country such as India.

(12)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

20

P 6 6 3 2 9 A 0 2 0 2 4

7. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 3 · part c · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

OLevels.COM — SCHOOL —

8. Question 3 · part c · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 3 · part c · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

Lithium is used in batteries to power various electrical and electronic goods including mobile phones and electric cars. Lithium has to be mined from the ground and large deposits are found in countries such as Chile. Lithium mining uses a lot of water – approximately 2 million litres per tonne of lithium.

(d) Analyse how business activity can damage the environment in a country such as Chile.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 3 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

The Regional Comprehensive Economic Partnership (RCEP) is the world's largest free trade agreement. It accounts for nearly 30% of global gross domestic product (GDP) and has 15 member countries.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP.

(6)

OLevels.COM SCHOOL

9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Figures from the Office for National Statistics (ONS) showed that the unemployment rate in the North East of England increased to 5.3% in the three months to the end of October 2021.

Output fell significantly in this area of England and business confidence was severely harmed. There was some positive news with the number of people claiming unemployment benefits in the North East of England falling by around 3,500 to 87,780.

(Source: https://www.chroniclelive.co.uk/news/news-opinion/unemployment-rises-north-east-concerns-22452309)

(e) With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England.

(9)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 3 = 20 marks)

9. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

3 (a) How many UK pounds (£) can be bought with $50 if the exchange rate is $1 = £0.75?

(1)

- ☒ **A** £25
- ☒ **B** £37.50
- ☒ **C** £66.66
- ☒ **D** £75

Many governments provide parks.

(b) Which **one** of the following is a reason for this provision?

(1)

- ☒ **A** To reduce the number of tourists
- ☒ **B** To reduce property values in the area
- ☒ **C** To reduce damage to the environment
- ☒ **D** To reduce space for leisure and recreation

South Korea had a current account surplus of $880m in October 2022.

(c) Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

In December 2022, the US Federal Reserve raised interest rates for the seventh time that year to 4.5%, its highest level in 15 years. Interest rates are predicted to increase to 5.25% by the end of 2023.

(d) With reference to the data above and your knowledge of economics, analyse how monetary policy can help to reduce inflation in a country such as the US.

(6)

OLevels.com SCHOOL

10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

In November 2022, the unemployment rate in Australia was 3.4%. The number of unemployed fell by 7,400 to 491,700. Employment increased by 64,000 to a new record of 13.77 million.

Unemployment remains at a near 50-year low as the recovering Australian economy faces a labour shortage. This is caused by a lack of migration and fewer short-term visa holders.

Australian Unemployment Rate (%) in 2022

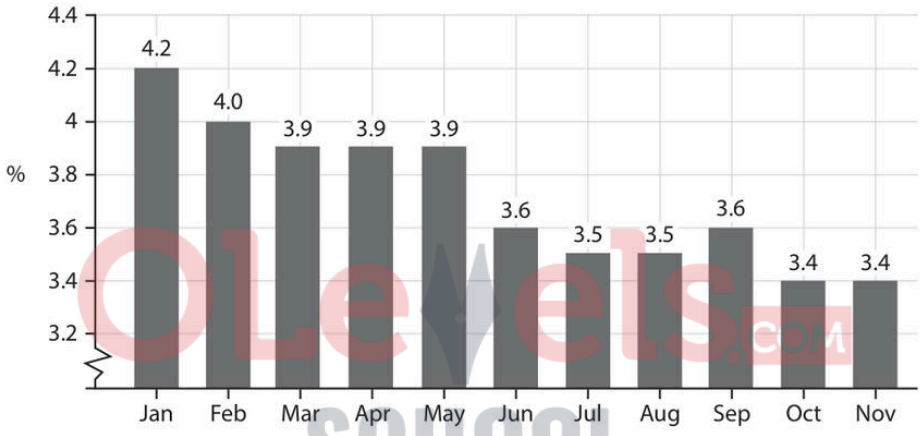


Figure 4

(e) With reference to the data above and your knowledge of economics, assess the possible benefits of low unemployment rates on tax revenues for a country such as Australia.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

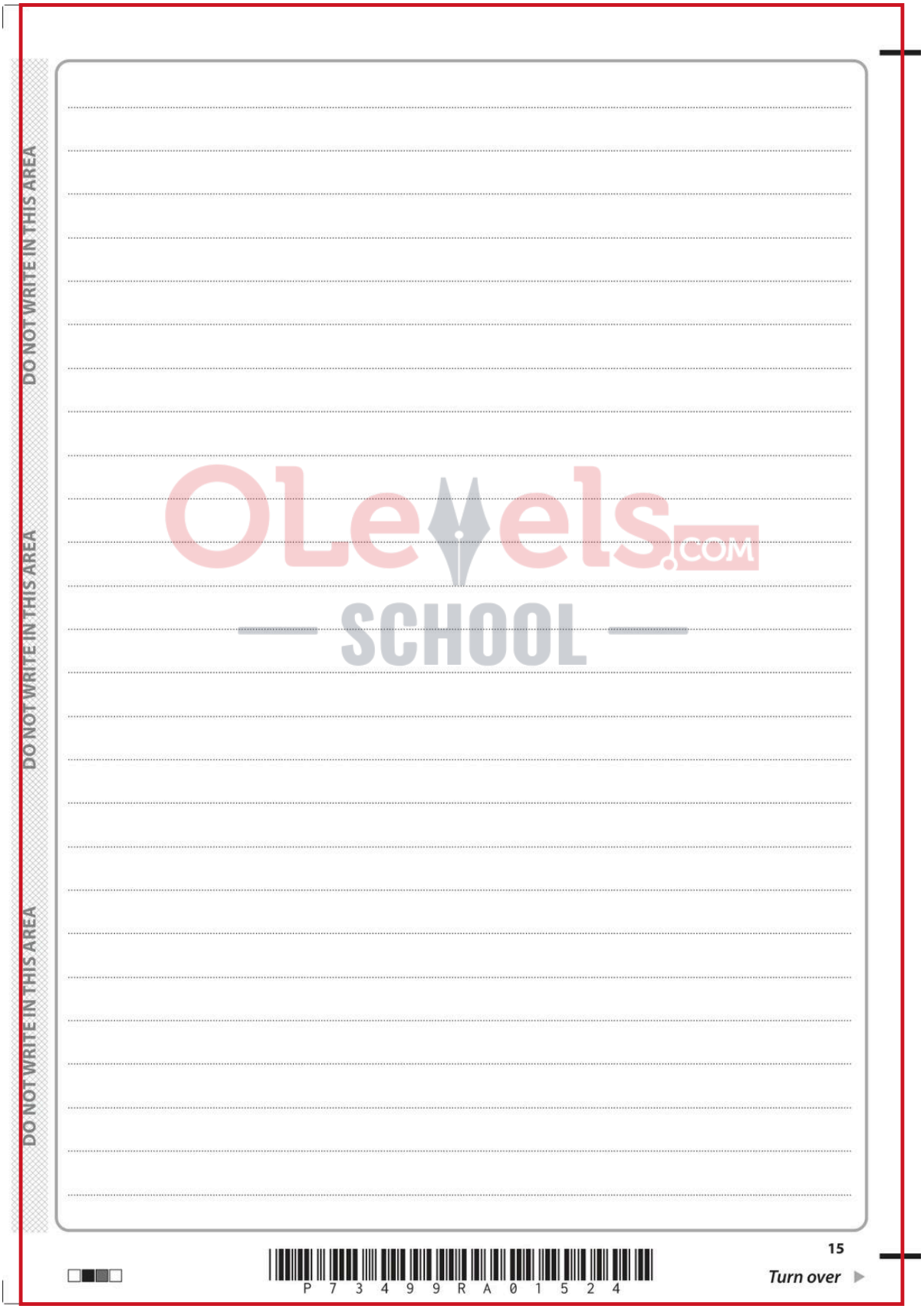
14

P 7 3 4 9 9 R A 0 1 4 2 4

10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

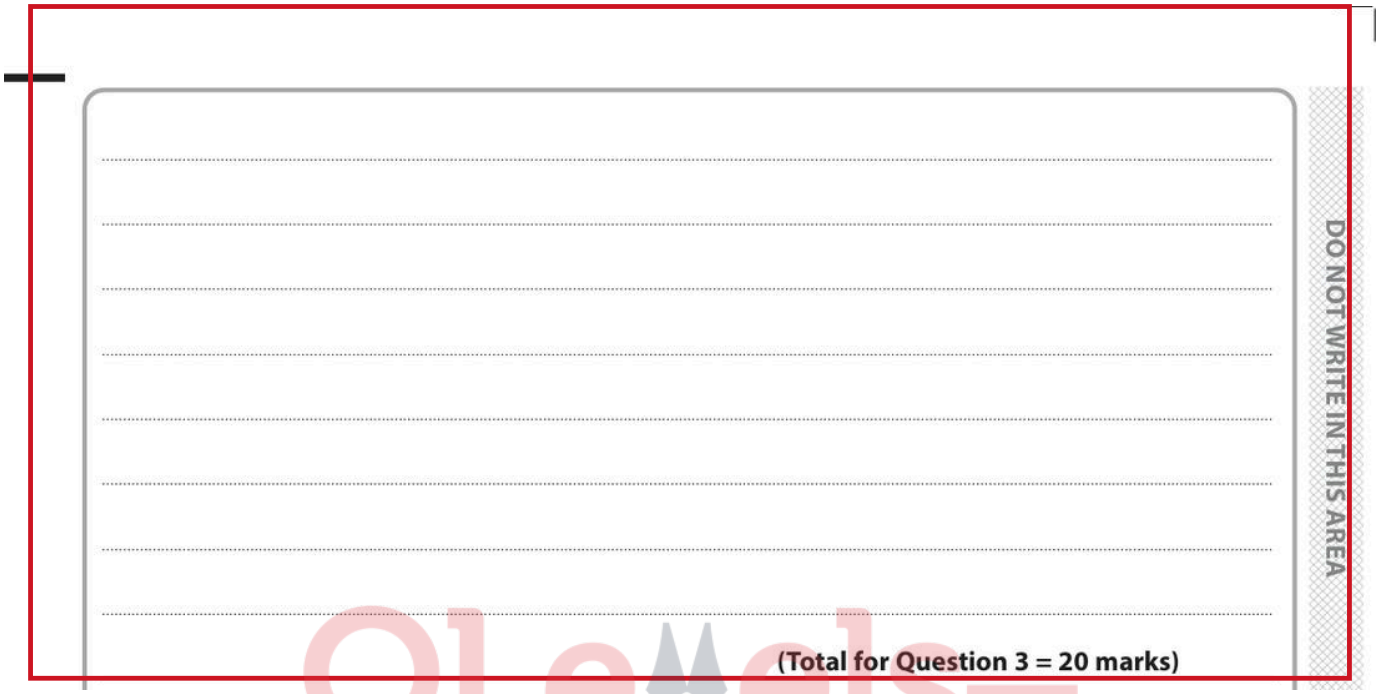
Further practice · Attempt part e only.



10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.



OLevels.com SCHOOL

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

(d) What is meant by the term economic growth?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

11. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

The Swedish economy has been in recession since 2023 and is expected to remain in recession until 2025. As a result, the demand for labour has fallen which has caused unemployment to increase.

(e) Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

11. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

In 2024, the European Union (EU) increased the tariff on all electric vehicles imported from China from 10% to 37.6%.

(f) Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

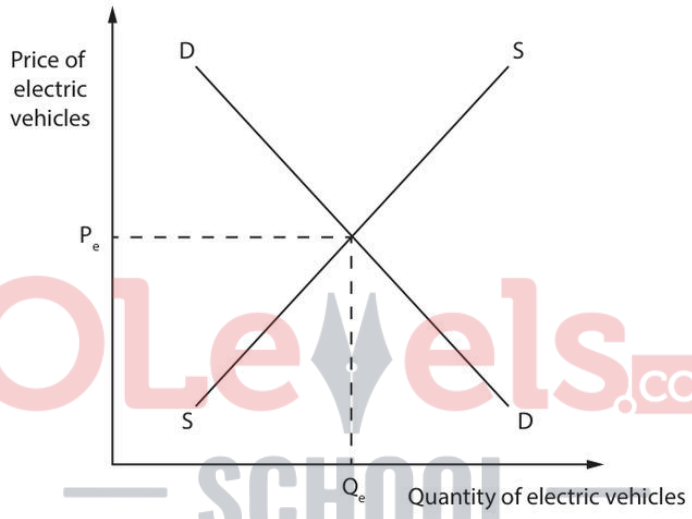


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 8 9 6 3 A 0 1 0 2 8

11. Question 2 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Minimum wage: reasons, benefits and costs

Purpose of a minimum wage and its effects on workers, firms, employment and the economy, including increases in the minimum wage.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T12-23

1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

4 Figure 6 shows the population of Finland in the years 2021, 2022 and 2023.

Year	Population
2021	5,541,075
2022	5,569,299
2023	5,601,185

Figure 6

(a) Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working.

(2)

OLevels.COM SCHOOL

1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

Malaysian company Air Asia was founded in 1993 as a low-price airline. It has grown to offer a wider range of services, including hotels, holiday packages, airport transfers and travel insurance.

It offers flights to over 150 destinations in 25 countries.

(b) With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

In 2024, the Latvian Government increased the national minimum wage from €620 per month to €700 per month.

A study had shown that 16% of the population of Latvia were paid the minimum wage. Although this was the lowest percentage for five years, many people had been struggling to pay bills following a rise in the prices of food, energy and clothing.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit everyone in an economy such as Latvia.

(12)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

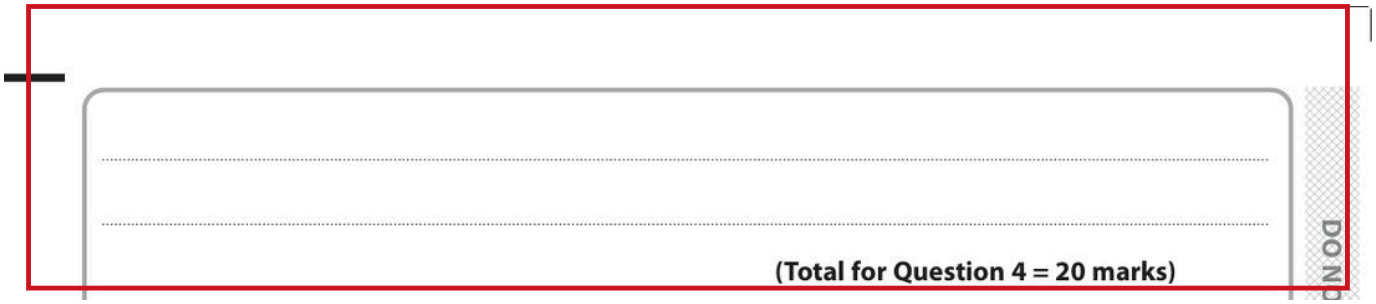
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.



OLevels.com SCHOOL

1. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

OLevels.COM — SCHOOL —

2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

(3)



DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

Each year the Turkish Government raises the national monthly minimum wage. It increased from 2 020 Turkish Lira (TRY) in 2018 to 2 558 Turkish Lira (TRY) in 2019.

(d) With reference to the data above and your knowledge of economics, analyse why the Turkish Government might want to increase the minimum wage every year.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 3 · part d · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

Istanbul's new airport will be huge in size and capacity when construction is finished. It will have the ability to handle around 200 million passengers annually. This is double the number of the world's current busiest airport in Atlanta, USA. The airport will cost $11.7bn to build. It will have four terminals, six runways and cover an area of 29.5 square miles, making it larger than the island of Manhattan in New York.

(Source adapted from: https://matadornetwork.com/read/istanbul-new-airport-biggest-world/)

(e) With reference to the data above and your knowledge of economics, assess whether Istanbul's new airport is likely to benefit from internal economies of scale.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

P 6 2 0 3 0 A 0 1 6 2 4

2. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

4 Figure 5 shows the population in Austria in the years 2000, 2008 and 2018.

Year	Population
2000	8,069,276
2008	8,341,532
2018	8,891,388

(Source adapted from: https://worldpopulationreview.com/countries/austria-population/)

Figure 5

(a) Calculate, to two decimal places, the **percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 6 shows the price elasticity of supply (PES) of bananas.

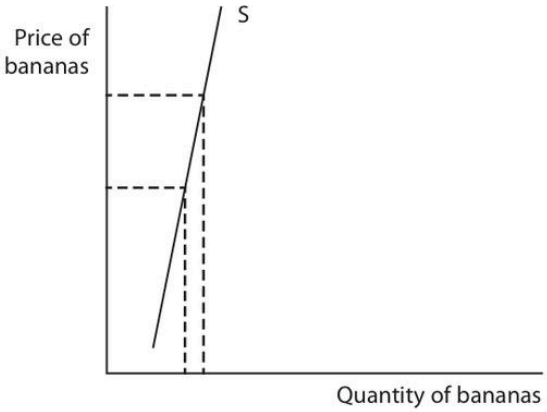


Figure 6

(b) With reference to the data above and your knowledge of economics, analyse how the quantity supplied of bananas might be affected by an increase in price. (6)

OLevels.com SCHOOL

3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

18

P 6 5 8 9 6 A 0 1 8 2 4

3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

Monthly Spanish minimum wage increases

In 2019, the monthly minimum wage in Spain increased by the largest percentage in over 40 years. It rose by around 22% compared to only a 4% rise the previous year. It was part of an annual review with a focus on 'making Spain great again'. The Spanish Prime Minister said that, 'A rich country should not have poor workers'.



Figure 7

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit an economy such as Spain.

(12)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.



3. Question 4 · part c · 12 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.



3. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

4. Question 2 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

OLevels.com SCHOOL

(e) Define the term minimum wage.

(1)

4. Question 2 · part e · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(f) Describe **one** reason why infinite wants lead to scarcity.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

4. Question 2 · part e · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 3 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following is the definition of a merger?

(1)

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

(1)

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

(3)

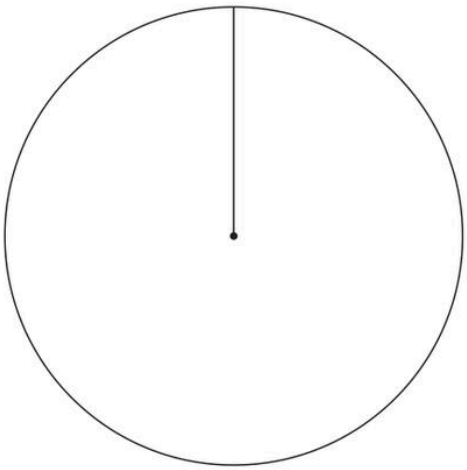


Figure 5

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

Olevels.com SCHOOL

5. Question 3 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 3 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

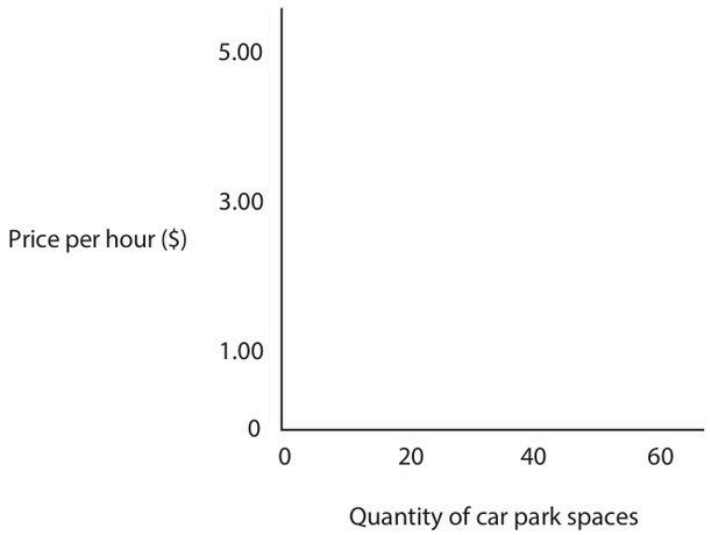
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

6. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 3 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

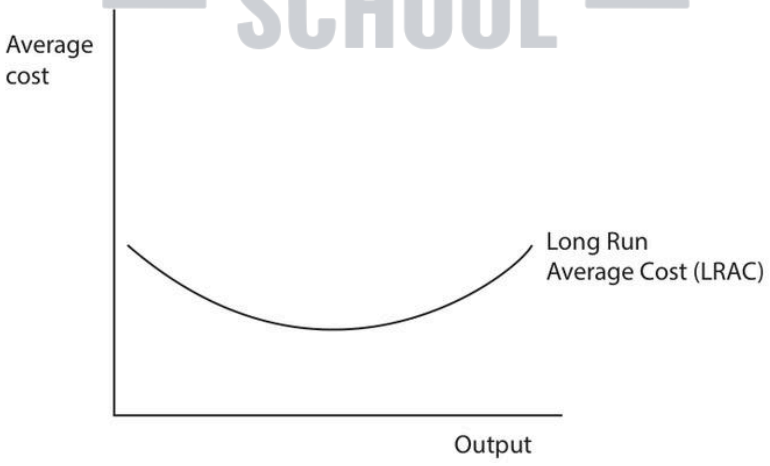


Figure 4

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels SCHOOL

7. Question 3 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

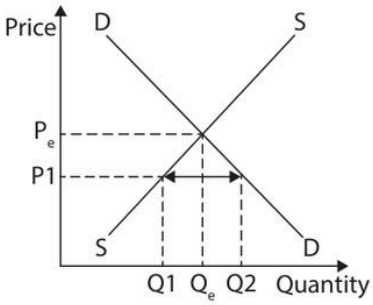
DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

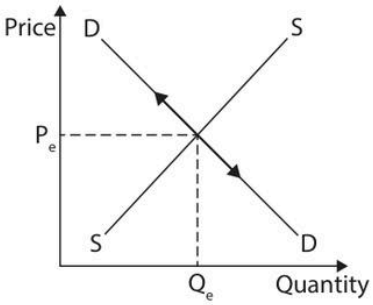
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

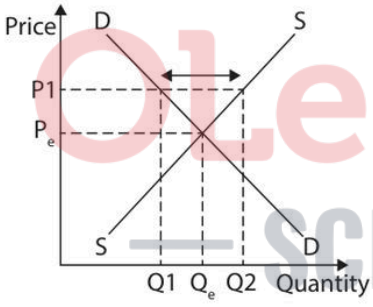
☒ **A**



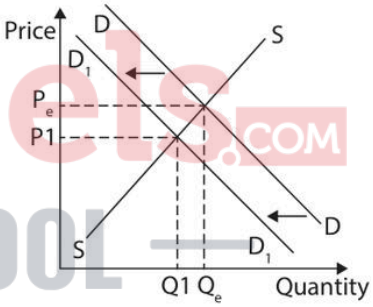
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

OLevels.com SCHOOL

8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Sajad owns a shop selling smartphones in Karachi, Pakistan. The shop has been successful for several years and there is an opportunity for Sajad to open an additional shop on the other side of the city.

(f) Explain **one** reason why Sajad may decide to expand his business.

(3)

OLevels.com SCHOOL

8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

In January 2023, the minimum wage in the Netherlands was increased by 10.15% to €1 934.40 per month. The decision was partly due to inflation increasing to 17% during 2022.

However, the decision has been criticised because the economy is still weak following the global health crisis.

(g) With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 2 · part g · 9 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(Total for Question 2 = 20 marks)

8. Question 2 · part g · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

(1)

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

(3)

OLevels.com SCHOOL

9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

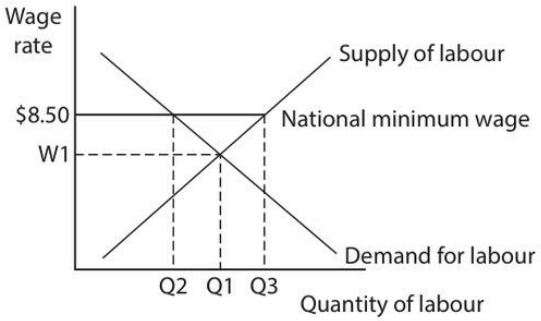


Figure 4

In 2021, the national minimum wage in Barbados was increased from $6.25 per hour to $8.50 per hour.

(d) With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados. (6)

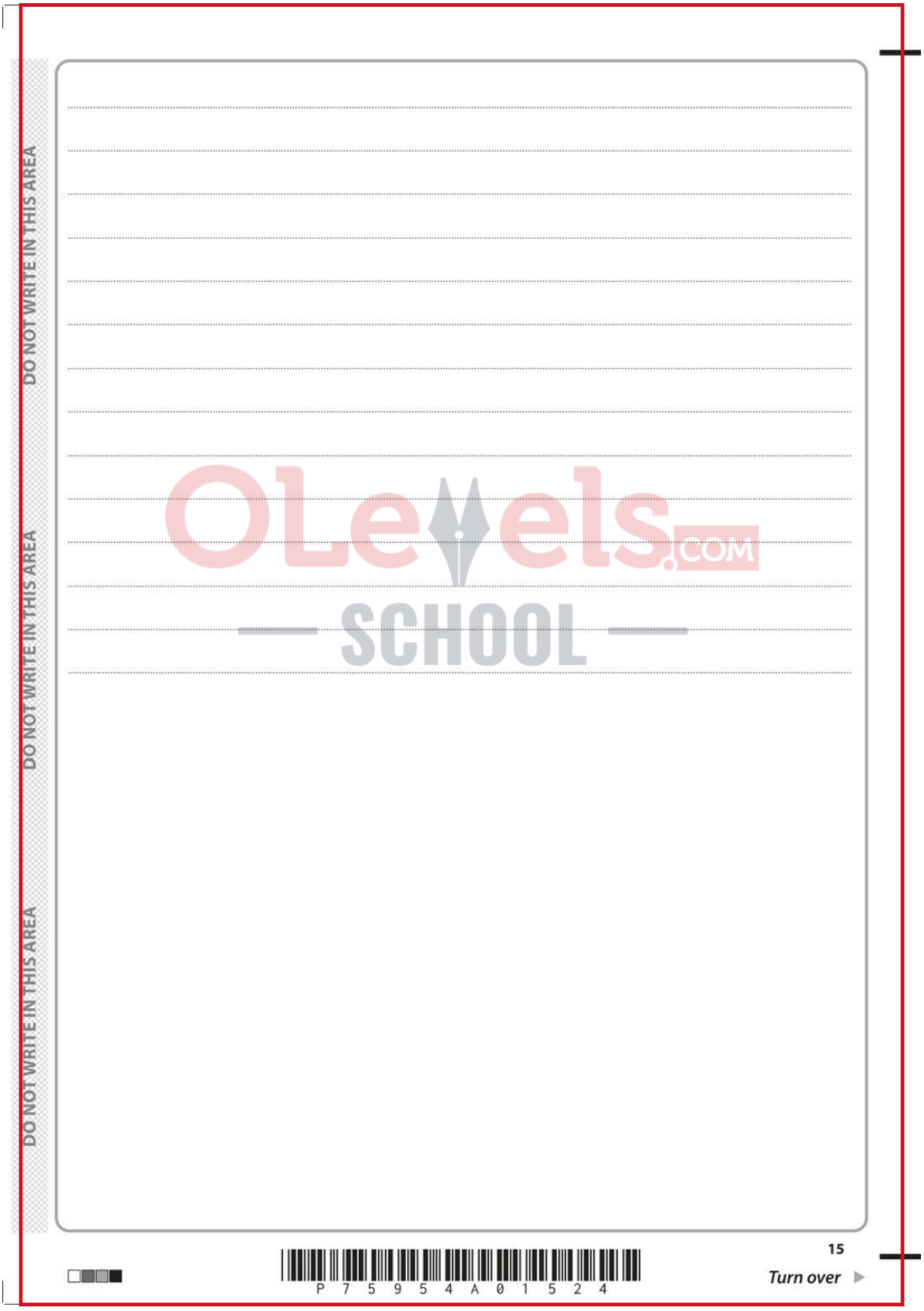
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 5 9 5 4 A 0 1 4 2 4

9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.



9. Question 3 · part d · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part d only.

The education level of a worker is likely to have an effect on their ability in the workplace.

When a person migrates to another country, they bring with them whatever knowledge, skills and information they possess.

(e) With reference to the data above and your knowledge of economics, assess the importance of the quality of labour on productivity in a country.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

9. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

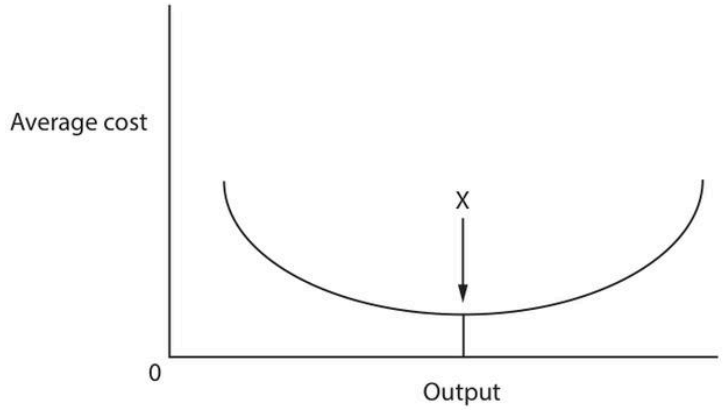


Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

OLevels.COM SCHOOL

(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

8

P 7 8 9 5 6 A 0 8 2 4

10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(e) Describe **one** government policy to encourage positive externalities.

(2)

In 2024, it was recommended that additional funding should be provided for the drainage of farmland in India.

(f) Explain **one** way an improvement in drainage may affect the productivity of Indian farmers.

(3)

OLevels.COM SCHOOL

10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

In 2024, the minimum wage in Kuwait was 75 KWD (Kuwaiti dinar) per month, equal to about $243 per month.

(g) With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 2 · part g · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.



10. Question 2 · part g · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Wage income from an hourly rate

Gross earnings from an hourly (minimum) wage times hours worked.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-CALC-12

1. Question 4 · part a · 2 marks

2020 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

4 In January 2018, the minimum wage in Andorra increased to €5.87 per hour.

(a) Calculate the **monthly gross income** of a worker in Andorra, employed for 175 hours per month and paid at the minimum wage. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

20

P 5 8 2 7 6 A 0 2 0 2 8

1. Question 4 · part a · 2 marks

2020 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

Sky Team is a group of 19 airlines, including Delta Airlines, KLM, Air France and China Airlines that share operating facilities and cooperate when setting flight routes. This allows more choice for passengers. Vietnam Airlines is a small airline that became a member of Sky Team in 2010. It was the first Southeast Asian airline to join Sky Team and has become more well-known to air passengers as a result of the group's advertising campaigns.

(b) With reference to the data above and your knowledge of economics, analyse how a smaller airline may benefit from internal economies of scale by joining a group such as Sky Team.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

P 5 8 2 7 6 A 0 2 1 2 8

21

Turn over ▶

1. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

O Levels .COM SCHOOL

P 7 2 9 6 7 A 0 2 2 4

2. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL